

Gap Analysis						
GAP Identification		State Description		Bridging the Gap		Factors and Remedies
GAP-ID	Current State: AS-IS (Business Problems)	Future State: TO-BE (Business Objectives)	Gap Identification	Gap Description	Factors Responsible for Gap	Solutions (IT/Digital Solution)
GAP-01	Saving Habits: Most young professionals save inconsistently or not at all.	Automated and AI-triggered saving to help users build consistent saving habits.	Lack of tools that make saving habitual, seamless, and goal-oriented	Users struggle to build saving habits due to lack of automation and motivation. Research shows that automatic defaults significantly improve savings behavior—like retirement plan participation jumping from 49% to 86% when auto-enrolled.	i) Manual saving requires discipline ii) Lack of awareness or incentives iii) No built-in automation in tools used	Implement rule-based and AI-powered auto-saving features. How: For the Rule-Based Auto-Saving, Users set predefined rules like “Save 5% of every incoming transfer. These rules run automatically in the background so saving happens without manual
GAP-02	Spending Visibility: Users have little to no clarity on where their money goes. Poor visibility wastes ~10% of all spend	Real-time categorized transaction tracking and visual spending dashboards.	Limited awareness leading to overspending and poor financial decisions	Users can’t easily see or understand their spending, making it hard to control.	i) No real-time tracking ii) Poor categorization of transactions iii) Inaccessible or complex reporting features	Integrate with financial APIs for real-time categorized data visualization. How: API Connection: Connect to banks, payment

GAP-03	Insights & Guidance: Most apps provide only static reports or historical data.	AI-generated nudges, alerts, and proactive financial advice.	Users lack meaningful, timely advice to act on their financial behavior.	Users are given information, but not actionable advice they can use in the moment. Research into financial analytics shows that 56% of tools are still static dashboards, with only 12% utilizing predictive or guidance-oriented analytics	i) Data is backward-looking ii) No predictive logic or personalization iii) Apps act as passive recorders	Develop personalized insights engine using spending patterns and goals. How: Data Analysis: The system tracks historical spending, detects habits, and identifies patterns. Goal Integration: Users input saving or spending goals; AI aligns insights with these targets. Contextual Suggestions: Example — if a user's dining expenses are 20% higher than average, the app suggests cutting back and reallocating the difference to savings.
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GAP-04	Onboarding Experience: Many financial apps have lengthy, unclear onboarding that causes user drop-off. Over 68% of consumers abandon financial app onboarding processes, often due to long forms, excessive questions, or poor UX.	Streamlined, interactive onboarding tailored to user goals.	High drop-off rates during setup.	Users abandon the app early due to overwhelming sign-up steps or lack of clarity.	i) Long setup forms ii) No guided tour iii) Unclear value proposition at sign-up	Design a goal-oriented onboarding flow with step-by-step guidance and personalization. How: Welcome Wizard: Guides users through initial setup with simple, interactive screens. Personalization Questions: Gathers details on income, expenses, and saving goals during onboarding. Pre-Filled Recommendations: Suggests savings plans based on provided details. Progressive Disclosure: Introduces advanced features gradually to prevent overwhelm.
GAP-05	Data Aggregation: Users must manually collect financial data across accounts or apps.	Seamless integration with multiple banks and payment platforms	Inconvenience and fragmented financial view.	Users can't see the full picture of their finances in one place.	i) No integrations ii) Manual entry required iii) Missing third-party connections	Integrate secure APIs to aggregate data from multiple sources. How: Multi-Source Integration: Connects to users' multiple bank accounts, mobile wallets, and investment platforms. Data Normalization: Standardizes different formats from various sources into a unified view.

GAP-06	Budgeting Tools: Budgeting is perceived as rigid, manual, or complex.	Intelligent, dynamic budgeting tailored to user behavior and lifestyle.	Traditional tools are disengaging or abandoned early.	Users don't stick to budgets because current tools are too rigid or time-consuming.	i) Spreadsheet or static methods are time-consuming ii) Lack of personalization iii) No reminders or tracking	Design flexible, user-driven budgeting flows with recommendations and alerts. How: Customizable Budgets: Users set budgets by category, time frame, or specific goals. Dynamic Adjustments: Budgets automatically adjust when unusual expenses occur. AI Recommendations: Suggests budget limits based on past trends and income patterns. Real-Time Alerts: Sends notifications when users approach or exceed budget limits.
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GAP-07	User Experience & Trust: Existing tools often lack intuitive design or have security concerns.	Secure, mobile-first interface with transparency and ease of use.	Frustration or fear of data sharing reduces adoption.	Users avoid using apps they find confusing or insecure. 2012 Pew Research shows that In total, 57% of users have avoided or removed apps due to privacy concerns.	i) Overcomplicated UI ii) Poor mobile optimization iii) Data privacy concerns not addressed clearly	Focus on UX design and ensure GDPR/PCI compliance. How: User-Centered Design: Conduct usability testing and create clean, intuitive navigation so users can complete tasks in as few clicks as possible. Accessibility: Apply responsive design for mobile and desktop, and follow WCAG guidelines for inclusive access. Data Security: Encrypt all data in transit and at rest, and implement tokenized payment processing. Compliance: Ensure all user data handling follows GDPR standards, with explicit consent for data use, and PCI DSS compliance for payment security.
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GAP-08	Goal Tracking: Users often forget or lose motivation to stick to their financial goals.	Users can set, track, and adjust personal savings/budget goals with reminders.	Goals are not sustained or measured effectively.	Users set goals but have no way to monitor or feel progress; Without systems to monitor progress, goals are easily forgotten	i) Lack of progress indicators ii) No reminders or motivation iii) No goal review system	Introduce visual goal trackers, smart reminders, and milestone celebrations. How: Progress Bars & Timelines: Shows real-time visual progress toward savings goals. Smart Reminders: Sends personalized notifications when savings deposits are due or goals are close to completion. Milestone Celebrations: Unlocks badges, confetti animations, or encouraging messages when users reach key targets.
GAP-09	Personalization: Generic financial tools treat all users the same.	AI tailors insights, challenges, and content to each user's financial habits.	Low relevance reduces engagement and retention.	Users feel the app is not designed for them personally.	i) No behavioral learning ii) One-size-fits-all interface iii) No content targeting	Use AI to tailor dashboards, nudges, and challenges to individual user behavior. How: Behavior Tracking: Monitors spending and saving patterns over time. Dynamic Dashboards: Highlights the most relevant charts, metrics, and goals based on user activity. Adaptive Nudges: Sends timely prompts to save more, reduce unnecessary spending, or join challenges.

GAP-10	Financial Literacy Support: Users often don't understand core financial concepts.	Contextual tips, educational prompts, and resources are built into the app.	Poor decision-making due to lack of knowledge	Users can't act wisely without understanding the financial implications.	i)Lack of education within app ii)Overly technical language iii)No contextual help	Embed mini-lessons, glossaries, and simple tooltips tied to user actions. How: In-Context Learning: Shows short explanations or tips only when the user interacts with a relevant feature. Glossary Access: Allows users to quickly look up financial terms from any screen. Micro-Lessons: Offers 30–60 second lessons on topics like budgeting or interest rates
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